EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Faire was founded on November 27, 1897 and got its name in honor of its founder, Captain Miguel Faire, by virtue of Executive Order No. 2390 dated February 28, 1932. Sometime in December of 1971, during the incumbency of then Mayor Leandro Pagurayan, a resolution was passed changing the name Faire to Sto. Niño.

The objectives of the Municipality of Sto. Niño are to implement development projects and programs to increase tax revenues thru better collection procedures and measures. In line with these objectives, the Local Chief Executive and the Sangguniang Bayan Members, thru the Presiding Officer, committed themselves to the delivery of the basic services to their constituents that are geared towards the development of the municipality as a self-reliant community.

For CY 2020, the Municipality of Sto. Niño had a total of 255 personnel complement with 100 permanent, 12 elective, 3 co-terminus, 20 casual and 120 job order status.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Sto. Niño, Cagayan for CY 2020 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year-ended December 31, 2020, with comparative figures for CY 2019 are as follows:

	2020	2019	Increase (Decrease)
Financial Position			
Total Assets	481,033,213.26	410,146,293.57	70,886,919.69
Total Liabilities	131,925,872.44	126,888,578.48	5,037,293.96
Total Government Equity	349,107,340.82	283,257,715.09	65,849,625.73
Financial Performance			
Total Income (Includes Subsidy from Other Funds)	189,806,177.11	169,257,233.93	20,548,943.18

Total Expenses (IncludeTotal Operating Expenses, Interest Expenses, Subsidy to Other Funds and Donations)	127,319,290.69	128,481,311.59	(1,162,020.90)
Appropriations, Allotments and Obligations			
Total Appropriations – Current	205,499,127.00	169,304,878.99	36,194,248.01
Total Obligations - Current	149,630,370.66	146,715,144.55	2,915,226.11
Total Appropriations - Continuing	57,406,872.30	59,825,645.91	(2,418,773.61)
Total Obligations - Continuing	9,551,190.97	19,289,341.01	(9,738,150.04)

The Municipality received fund transfers from other agencies totaling P40,002,427.18 and there had been no transferred funds to barangays during CY 2020, with comparative figures for CY 2019, as follows:

	2020	2019	Increase (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	39,802,427.18	10,997,000.00	28,805,427.18
Local Government Units	200,000.00	-	200,000.00
Non-Government Organizations/Peoples Organizations (NGOs/POs)	-	-	-
Funds Transferred to:			
Local Government Units	0.00	3,000,000.00	(3,000,000.00)
Total	**40,002,427.18**	**13,997,000.00**	**(15,317,108.00)**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements as of December 31, 2020 of Sto. Niño, Cagayan due to the effects of the noted deficiencies on the balances of some accounts, as summarized in the succeeding paragraphs and as discussed in detail in part II of the report.

D. Summary of Significant Observations and Recommendations

The following are the Audit Team's significant audit observations and recommendations, which were not discussed with the concerned Management officials in an exit conference because of the pandemic:

1. **The consolidated balance of the Cash in Bank – Local Currency, Current Account totaling P156,103,836.62 is unreliable due to the: (a) non-preparation of the monthly Bank Reconciliation Statements, (b) non-reconciliation of the difference between the book and bank balances, and (c) non-maintenance of separate subsidiary ledgers for each depository account, which are contrary to Section 74 of Presidential Decree (P.D.) No. 1445 and COA Circular No. 96-011 dated October 2, 1996.**

We recommended that the Municipal Accountant:

a. Strictly observe the monthly preparation of Bank Reconciliation Statements to determine the correct balance of the Cash in Bank account in the financial statements, in compliance with COA Circular No. 96-011 dated October 2, 1996;

b. Reconcile thoroughly the balances per book and per bank to determine the valid reconciling items and prepare the necessary adjustments in the books for all the errors committed in the books and notify the bank/s immediately for any errors they may have committed in order to arrive at a correct Cash in Bank-LCCA Account balance;

c. Ensure that all valid reconciling items to be recorded and adjusted in the books are properly supported with complete documents; and

d. Reconcile the accounting records with the cashbook of the Municipal Treasurer. Henceforth, both officers should reconcile their records regularly so that errors or discrepancies that may be noted could be readily adjusted.

2. **Long outstanding receivables and cash advances totaling to P9,139,893.02 remained unliquidated or unsettled as of December 31, 2020, contrary to Section 89 of PD 1445, COA Circular No. 97-002 dated February 10, 1997 and COA Circular No. 2016-005 dated December 19, 2016, thus depriving the Municipality of the funds for its operations and affecting the fair presentation of the particular accounts in the Financial Statements.**

We recommended that the Management:

a. Enforce collection and settlement of the long outstanding receivables and cash advances through issuance of demand letters; and

b. Require the Municipal Accountant to submit a sworn Certification for unliquidated cash advances, and other receivables with no available documents but are not yet considered dormant as defined under COA Circular 2016-005.

3. **Payments of COVID-19 Hazard Pay include payment to two (2) employees of National Government Agencies assigned in the Municipality and were found to be excessive, contrary to Department of Budget and Management Budget Circular No. 2020-1 dated March 24, 2020, thus resulted to excessive payments amounting to P279,500.00.**

We recommended that the Management:

a. Require the Municipal Accountant and HRMO to strictly comply with the provisions of DBM Circular 2020-001 in initiating claims for hazard pay, and ensure that hazard pay should be paid only during ECQ; and

b. Require the employees to refund the excess claimed totaling to P279,500.00.

4. **Honoraria of the BAC Members, TWG and BAC Secretariat totaling to P712,000.00 were not subjected to withholding tax, contrary to Section 7(A) of Revenue Regulations No. 11-2018 dated January 31, 2018, thus, depriving the government of income from such taxes that should have been withheld.**

We recommended that the Management

a. Require the Accounting Unit to prepare a billing statement to the employees concerned totaling to P209,100.00 for the non-withheld taxes;

b. Instruct the Treasury and Accounting Units, upon payment by the concerned employees of the non-withheld taxes, to remit the same amount to BIR representing the underpayment of taxes; and

c. Require the Accounting Unit to ensure proper computation of the amount of taxes to be withheld in accordance with pertinent Revenue Regulations.

5. **Three (3) Disbursement Vouchers (DVs) totaling P7,388,105.44 charged to Bayanihan Grant were not submitted for verification, contrary to Section 100 of Presidential Decree No. 1445 and Section 7.2.1.a of COA Circular No. 2009-006 dated September 15, 2009, thus we were unable to ascertain the validity, propriety and completeness of the paid transactions.**

We recommended that the Management:

a. Require the Municipal Accountant to cause the immediate submission of the unsubmitted paid DVs and the supporting documents to the Auditor for verification and audit as required in Section 100 of PD No. 1445 and Section 7.2.1.a of COA Circular No. 2009-006 dated September 6, 2009 to avoid the issuance of Notices of Suspension and/or Disallowance in audit on the subject transactions;

b. Take appropriate administrative disciplimiary action against the said concerned public official for failure to comply with the requirements of the aforecited law on the submission of DVs, which omission constitute neglect of duty, pursuant to Section 127 of PD No. 1445.

E. Summary of Total Suspensions, Disallowances and Charges

The status of Suspensions, disallowances and charges as of December 31, 2020 is summarized as follows:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions	5,540,377.58	-	-	5,540,377.58	0%
Disallowances	3,858,796.52	523,513.38	148,753.86	4,233,556.04	3.39%
Charges	-	-	-	-	0%
Total	**9,399,174.10**	**523,513.38**	**148,753.86**	**9,773,933.62**	

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 55 audit recommendations embodied in the previous years' Annual Audit Reports, 15 were fully implemented, three (3) was partially implemented and 37 were not implemented.